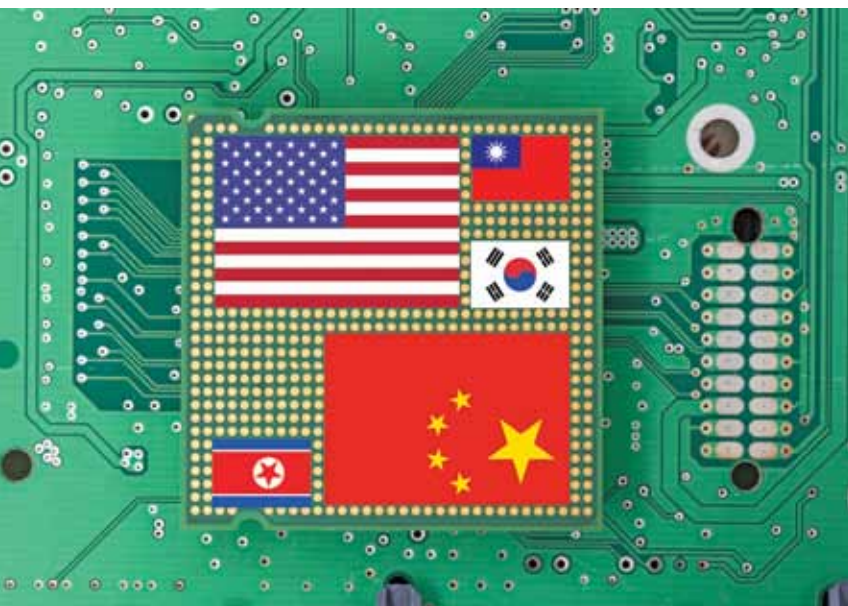


GLOBAL CHIP RACE SHIFTS; A Spotlight Moment For India?

Still competing with chip giants, India's rise in the East raises a crucial question: Are global chip dynamics shifting? The contrast is striking—while the West faces stalled and delayed manufacturing, Asian facilities are rapidly turning 'operational.'



SHUBHA MITRA

Less than five years ago, the world scrambled for semiconductors amid the pandemic. Chips were the new oil, and the West rushed to counter China and East Asia's dominance. But today, the landscape has shifted. Billions in subsidies. Political promises. Dreams of semiconductor independence. Yet, Europe's chip-making ambitions are faltering—stalled by bureaucracy and economic realities. Factories remain unfinished, investments waver, and Asia continues to lead.

But in a surprising twist, it is not just Taiwan and South Korea driving the industry—India is emerging as a player. Once an outsider in the silicon supply chain, it is quietly drawing investments, reshaping the

semiconductor map and the power structures that come with it.

Reports in recent months highlight widespread delays and halts in global semiconductor projects—primarily in Europe and, to some extent, the US. Industry giants like Wolfspeed and Intel have reported suspensions at various fabs, while the GlobalFoundries-STMicroelectronics project in Crolles, France, was recently put on hold for reasons still unclear.

In response, companies are revising investment strategies, optimising costs, and exploring new financing options to stay on course. The question lingers: Is this a momentary disruption, or the start of a deeper shift in the global semiconductor industry?

The projects in limbo

At the beginning of this year, Bloomberg reported that the 58:42 fab venture between GlobalFoundries and STMicroelectronics in France had hit a roadblock. Construction stalled over the past 18 months, leading to a pause. Announced in July 2022 and finalised in June 2023, the €7.5 billion project—backed by 'European Chips Act' funding—was set to build a 12-inch (30.48cm) semiconductor fab alongside their existing Crolles facility. Production was slated for 2026, with an annual output of 620,000 wafers.

Meanwhile, Wolfspeed has delayed its \$3 billion semiconductor plant in Saarland, Germany. In a June 2024 report, Reuters called this a setback for the European Union's efforts to strengthen